We can see that the promoter of Sharma & Co. has 400 crores (40%) as company's shares out of 1000 crores, while the remaining 60% could be in other properties or another company that they own.

On the other hand, promoters of Raheja & Co. have a total net worth of 100 crores, of which 85% comes directly from Raheja & Co. We observe that a major portion of this person's net worth is tied up with Raheja & Co. So in this case, the promoter is incentivized much better tomake decisions that are in the best interests of the company.

Interest of Promoter		
Sharma & Co.	<	Raheja & Co.
40%	<	85%

Management's Compensation Plan

How is the management being remunerated? How are they compensated?

Shares

Does the management own a large number of shares?
- Owner-operated businesses - They compensate their management by shares and the increase in the value of those shares.

ESOPs

ESOPs refer to employee stock options;
- It's quite common in professional-run businesses.
- Therefore, if the stock prices rise, the value of ESOPs escalate. ESOPs are tied to the performance of shares in the long term.

Fixed Salary

When a person receives a fixed salary, it has nothing to do with performance.
- Even if the company is struggling, the management personnel will be paid a fixed salary.

Commissions

Every year, commissions are paid. Assume that the commission is 5% of the net profit. Regardless of the company's performance, the commission will be paid as a fixed salary but with a variable component. The variable component is tied to the short-term metric of the current net profits, which is affected by company's decisions or performance.

Fixed ⟶ **Fixed percent of net profit**

Variable ⟶ **Based on performance**

Thus, the management can take decisions that benefit the company in the short run by increasing the net profits and commissions but they may jeopardize the company's interests in the long run.